

The Law of Agency

“You may be legally responsible for the acts of someone else”

What is an Agency

The law of agency could be defined as the **juridical relation** which results from the manifestation of consent by **one person** to another that **the other** shall act on his behalf and subject to his control, and consent by the other so as to act. (*Black's Law Dictionary, 1991*).

Article 2199 of the Civil Code of Ethiopia provides the definition that :

*Agency is a **contract** whereby a person, **the agent**, agrees with another person, **the principal**, to represent him and to perform on his behalf one or several legally binding acts.*

Key words :

Principal : is someone who confers on another the authority to act on their behalf

Agent : the party on whom the authority is conferred or represent another in dealing with third parties.

Third Parties : - the party with whom the agent dealing with on account of his principal.

Why do have Agency ?

- ☐ Agency **reduces** the cost of contracting.
- ☐ The need to overcome **time** and **space** limitation:
- ☐ The need to overcome limitations of knowledge and skill:
- ☐ The need to represent legal person's
- ☐ The Need to overcome incapacities

Ex.1 All traders who are registered for VAT are required to collect 15% VAT calculated up on a given transaction. Hence, they are required to refund such amount to Ethiopian Revenues and Customs Authority.

Ex.2 There are almost 1000 branch in all there are 1000 branch managers through them the president of the Bank can be at different place at the same time.

Ex.3 If certain company receive a court summon the company must find professional lawyer who is versed with special knowledge of lawyering.

Ex.4 Even though Coca Cola Inc, is a legal (Artificial) separate person the company can not carried out its rights unless it hires General Managers and Plant Managers since it is a separate real person .

Ex.5 traders who are registered for VAT are required to collect 15% VAT calculMinors , insane persons, bankrupted persons, judicial interdicted persons can not exercise their right of contracting unless they carried out using their tutors, trustees,

Sources of Agency

- ❑ Authority derived from a *Contract* :-
- ❑ Authority by *Judicial Act*.
- ❑ Authority Derived from the *Law*.

Tests of Agency (How do we know Agency Relationship exists?)

Agency may be proven if the following three particulars are present :

- ❑ Authority runs between the Principal and Agent (Law, Contract, Judicial Rulings)
- ❑ Being subject of Control (not micro management but control the relationship)
- ❑ The Agent has to be acting on behalf of the principal

Ex. A General Manager of a certain PLC is an agent of that PLC. Hence, his authority is derived from *Articles and Memorandum of Association* of the Company. He should represent the company and carry out his authority within the scope of power given by the company *Articles of Incorporations*. His power is controlled by the *General Assembly* of the company.

Formation of Agency

An agency is usually created by agreement between the principal and agent, but in some situations an agency can be created without such an agreement. The main ways in which an agency can be formed are as follows:

- ❑ **Express Appointment**. This is the main way in which an agency is created. A principal will expressly appoint an agent either to carry out a particular job or to undertake a range of transactions. The relationship between the principal and agent will usually be contractual.
- ❑ **By Implication**. This form of agency usually arises where there is a pre-existing agency relationship and it is assumed by a third party that the principal has given the agent authority to act as an agent in matters not covered by the express appointment. This implied or ostensible authority may arise from the position held by the agent

For example, a company secretary has implied authority to enter into contracts on behalf of a company which are related to the day-to-day operation of the business

□ **By ratification**. This arises where a principal retrospectively adopts a contract made on his behalf by an agent. Ratification will only be effective if strict conditions are met: ■ the agent must have disclosed that he was acting for a principal; ■ the principal must have been in existence when the agent entered into the contract, e.g. if the principal is a company, the certificate of incorporation must have been issued; ■ the principal must have had the capacity to enter into the contract not only when the contract was made but also at the time of ratification; ■ the principal must ratify the whole contract; ■ ratification must take place within a reasonable time.

□ **By Necessity**. This type of agency arises where a person takes urgent action on behalf of another in the event of an emergency. There will normally be some kind of pre-existing contractual relationship between the parties, e.g. a contract to transport perishable goods.

The person who purports to act as an agent of necessity must show that he acted in the best interests of the 'principal', his actions were reasonably necessary in the circumstances, and that it was impossible to contact the 'principal' to obtain instructions.

□ **Apparent (Ostensible) Agency** Apparent authority is not an authority arising from the consent of the principal whether express or implied according to the rules discussed in the preceding section. The agent's authority here is the product of the principal's conduct, his conduct that the agent is authorized to act on his behalf. It is an authority which apparently exists, having regard to the conduct of the parties. In fact/reality, it does not exist; but as a matter of law arising out of the factual position of the parties in the eyes of third parties. This might be happened (a) if in the situation that the principal failed to receive Power of Attorney from the agent, (b) if the principal failed to communicate partial or full revocation of power of attorney to third parties or (c) where any statement or conduct of principal lead third parties to believe that there is agency relationship.

Modes of Representation

1. Disclosed (Complete) Agency

Disclosed agency is the mode of representation in which the agent reveals the name of the principal to the third parties with which he/she is interacting (on behalf of the principal). Disclosed agency is recognized under Art 2189(1) of the civil code in such a way that the representation of the principal by the agent shall have the effect of affecting the principal when the agent discloses the name of the principal.

“Contracts made by an agent in the name of another within the scope of his power shall be deemed to have been made directly by the principal” Art 2189(1).

The effect of agency springs from this provision of law of agency, that is, the name of the principal disclosed to the third party and the agent acting within the scope of his power. Therefore the name test, disclosing the name of the agent or the agent acting in the name of the principal is an essential element of agency under the Ethiopia law. Hence, the agent acting not in his own name or in the name of any other person but in the name of the principal makes the mode of representation disclosed agency. By the same token the third party enters into contract with the agent with the full knowledge that the person with whom he/she is interacting is the agent and whose name as a contracting party is stated is the principal.

II. Undisclosed Agency: -

Art. 2197 agent acting on his own name

(1) An agent who acts on his own name shall personally enjoy the rights or incur the liabilities deriving from the contracts he makes with third parties, notwithstanding that such third parties know that he is an agent.

Undisclosed agency is the mode of representation in which there is no disclosure of the fact that the front person is acting on behalf of another person. That is neither the fact that he is acting on behalf of another person nor the name of another person is made known to the third party contracting. Therefore, the agent acts on his own name and he is acting on his own behalf. The latter is inferred from the situation where the third party is not aware of the fact that the agent is acting to the benefit and on behalf of another. This form of representation is inferred from the expression of Art 2197(1) last proviso. That is “, --- *notwithstanding that such third parties know that he is an agent.*” This last mode of representation does not bring any effect of agency. Yet, the person who acts in his own name and on his own behalf shall enjoy the benefits or liabilities himself. By way of conclusion, only disclosed agency which is termed as complete agency under Art 2189 of the Civil Code shall bring effects of agency. The other two forms of agency explained under Art. 2197 of the Civil Code are not

Duties of Agents to their Principals

The agent has various duties which he owes to his principal. Some of these arise out of the contract of agency, others apply in varying degrees, depending on whether the agency is for reward or gratuitous, and are implied.

- (a) **Duty to Perform** The fundamental duty of an agent appointed under a contract is to carry out the agency contract in accordance with its terms, express or implied, and not exceed his authority. If the Agent is appointed and instructed to sell goods for cash only. Instead, he sold them, and accepted a post date cheque in payment. If the cheque later found dishonored. Then the agent is liable for the price.
- (b) **Duty to Obey Instructions** An agent is required to comply with all reasonable and lawful instructions given by the principal in connection with the subject-matter of the agency, or the manner of carrying out his duties. This duty can, of course, be modified (or even excluded altogether) by the terms of the agency contract – and it is, in many cases, subject to the custom and usages of the trade.

(d). **Duty to Perform the Contract with Diligence** It will, normally, be implied in every agency contract that the agent will carry out his duties with reasonable diligence. If he is unable to carry them out within a reasonable time, or is not prepared to, then he has a duty to notify his principal of this fact. This is no more than the requirements placed on a party to any contract to perform it within a reasonable time if the contract does not specify a time for performance.

(e). **Duty to Exercise Due Skill and Care** The common law duty of an agent acting for reward is to exercise such skill and care in performing his duties as is reasonable and normal in the trade, profession or business in which he is engaged.

(f) **Fiduciary Duties** An agent is said to be in a fiduciary relationship towards his principal – he is, loosely speaking, in a position of trust. However, he is not a trustee in the legal sense. A trustee owes a higher degree of integrity and duty towards his beneficiary than an agent does towards his principal. Perhaps, we can best sum this up by saying that an agent must behave honorably and loyally in all his dealings with his principal. Having said that, let us look at the various situations in which an agent is required to behave in a certain way.

An agent has numerous duties and responsibilities vis-à-vis his principal – but he also has rights.

(a) Payment It is interesting that an agent is not entitled to any payment or remuneration for his services as of right. His only entitlement is if the contract of agency expressly or by implication provides for it. This means that a non-contractual agent has no entitlement to be paid, and is truly what he is called – a “gratuitous agent”. On the other hand, where the agency is contractual, and the agent is in the course of a business as such, then remuneration will be very readily implied if the contract makes no express provision for it. In the case of professional agents who charge on a fixed scale, this scale does not automatically apply, unless it can be shown that a term of the contract, express or implied, so provides. Frequently, however, in such cases, the custom of the trade or profession will ensure that the scale is implied into the contract.

Indemnity (Duty to reimburse outlays and Experts:

An agent is entitled to be reimbursed all expenses properly incurred on the principal's behalf, and to be indemnified against all losses and liabilities incurred in the execution of the agency. This is a general rule, and subject to exceptions, especially in the case of expenses. It may very well be that the contract envisages, or expressly provides, that the expenses incurred by the agent are included in the commission or fee paid. The custom of the trade or profession will, often, be an important factor.

Lien : - All agents,, have a lien on the goods or chattels of their principals in respect of lawful claims they may have against them for remuneration, charges, loss, or liabilities incurred in the course of the agency. However, the lien of an agent can be displaced by express or implied agreement in the agency contract, or if goods or chattels are delivered to the agent for a special purpose or directions for disposal are given inconsistent with the agent's lien. Normally, the lien of an agent is a "particular" lien – that is, it applies only to goods or chattels being retained by the agent as security against debts or liabilities arising in respect of those particular goods or chattels. In other words, if an agent has in his possession goods in connection with one transaction, he cannot exercise his lien over those goods in respect of debts which arise in connection with a separate transaction. However, a particular lien can be extended into a general lien by agreement. A general lien applies to all goods or chattels of the principal which are in the agent's possession. Or the agent can exercise a lien over the principal's goods and to stop them in transit where payment is outstanding.

Termination of agency

The agency may come to an end either by the actions of the parties or by operation of the law.

1 Termination by the Parties. The principal and agent may terminate their relationship by mutual agreement or the agency contract may allow either party to terminate by giving notice. Even if the contract does not provide for termination by notice, either party can end the contract unilaterally by giving reasonable notice.

2 Termination by Operation of the Law. The relationship will come to an end automatically with the death or insanity of either party or by the bankruptcy of the principal. The agency can also come to an end because of frustration or illegality.